KenGen

Energy for the nation.

AUDITED RESULTS FOR THE YEAR ENDED 30TH JUNE 2024

The Board of Directors of Kenya Electricity Generating Company PLC (KenGen) is pleased to announce the Audited Financial Results for the year ended 30th June 2024.

SUMMARY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED:

	30 June 2024 KShs Million	30 June 2023 KShs Million
Revenue	56,297	53,964
Reimbursable expenses (Fuel and water costs)	(8,003)	(8,121)
Revenue less reimbursable expenses	**48,294**	**45,843**
Other income	1,297	2,083
	49,591	**47,926**
Net forex and fair valuation (losses)/gains	(722)	428
Operating expenses	(39,318)	(38,786)
Operating Profit	**9,551**	**9,568**
Finance Income	4,202	1,689
Finance Costs	(2,806)	(2,732)
Profit Before Tax	**10,947**	**8,525**
Income Tax Expense	(4,150)	(3,508)
Profit After Tax	**6,797**	**5,017**
Other Comprehensive Income	(906)	(4,102)
Total comprehensive income	**5,891**	**915**
Basic and diluted earnings per share (KShs)	**1.03**	**0.76**

SUMMARY STATEMENT OF FINANCIAL POSITION AS AT:

	30 June 2024	30 June 2023
ASSETS		
Property Plant & Equipment	426,723	432,483
Financial asset at fair value through profit or loss	729	17,817
Other non-current assets	15,651	20,404
Current Assets	48,190	45,873
	491,293	516,577
EQUITY & LIABILITIES		
Total Equity	278,106	274,193
Borrowings	107,749	137,042
Other non-current liabilities	86,651	
83,155		
Current Liabilities	18,787	22,187
	491,293	**516,577**

SUMMARY STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED:

	30 June 2024 KShs Million	30 June 2023 KShs Million
Cash generated from operations	33,083	22,355
Finance income received	3,181	1,302
Tax paid	(614)	(430)
Net Cash generated from operating activities	35,650	23,227
Purchase of property plant and equipment	(10,905)	(13,835)
Other investing activities	(452)	(23)
Net Cash used in investing activities	(11,357)	(13,858)
Net Movement in borrowings	(8,082)	(2,242)
Finance costs paid	(2,878)	(2,876)
Dividends paid	(2,901)	(1,780)
Other financing activities	(276)	(232)
Net Cash from financing activities	(14,137)	(7,130)
Net increase/ (decrease) in cash and cash equivalents	**10,156**	**2,238**
At the beginning of the year	15,474	12,655
Effects of exchange rate changes on cash and cash equivalents	(12)	581
Cash and cash equivalents at the end of the period	**25,618**	**15,474**

SUMMARY STATEMENT OF CHANGES IN EQUITY

	Share Capital & Share Premium	Other Reserves	Retained earnings	Total Equity
	KShs Million			
At 30 June & 1 July 2022	**38,639**	**129,272**	**106,686**	**274,597**
Total comprehensive income for the year	-	(4,102)	5,017	915
Transfer of excess depreciation	-	(4,013)	4,013	-
Deferred tax on excess depreciation	-	1,204	(1,204)	-
Dividends declared	-	-	(1,319)	(1,319)
As at 30th June and 1st July 2023	**38,639**	**122,361**	**113,193**	**274,193**
Total comprehensive income for the year	-	(906)	6,797	5,891
Transfer of excess depreciation	-	(3,893)	3,893	-
Deferred tax on excess depreciation	-	1,168	(1,168)	-
Dividends declared	-	-	(1,978)	(1,978)
As at 30th June 2024	**38,639**	**118,730**	**120,737**	**278,106**

OPERATING ENVIRONMENT

Our electricity units dispatched in the year under review were 4 % ahead of the previous year, increasing from 8,027 GWhs to 8,384 GWhs. This was despite the challenging weather conditions in the first half of the year and the decommissioning of 133.5 MW of our fossil fuel-powered thermal plants in Muhoroni and Kipevu. This performance was bolstered by improved rains in the second half of the year, which enhanced our hydro generation capacity, as well as optimized availability across both our hydro and geothermal fleets. Our ability to adapt quickly to these environmental variables enabled us to meet the growing electricity demand, which peaked at 2,149 MW during the period under review.

FINANCIAL HIGHLIGHTS

- Revenue increased by KShs 2,333 million, from KShs 53,964 million in 2023 to KShs 56,297 million for the year ended 30th June 2024. This rise was mainly driven by enhanced availability of our geothermal and hydro power plants, positioning us to better capitalize on growing energy demand.
- Operating profit remained stable at KShs 9,551 million for the year ended 30th June 2034 compared to KShs 9,568 million in 2023. Despite inflationary pressures and operational challenges, we maintained a healthy margin through disciplined cost management and efficiency improvements.
- Net profit after tax increased by 35% from KShs 5,017 million to KShs 6,797 million for the year ended 30th June 2024 primarily driven by growth in electricity revenue and finance income.
- The financial assets at fair value through profit or loss relates to recoverable unrealized exchange differences on foreign denominated borrowings and which decreased due to downward revaluation following strengthening of the Kenya Shilling against major currencies.
- Borrowings reduced primarily owing to downward revaluation following the strengthening of the Kenya Shilling against major currencies and loan repayments.

OUTLOOK

Looking ahead, we are strategically positioned to continue driving value for our stakeholders through the expansion of renewable energy. Reflecting on the achievements of the past years, KenGen will focus to be the Market Leader in the provision of Renewable Energy Solutions with growth in Power Capacity being Geothermal Lead and other green technologies of Hydro, Wind and Solar. Our focus remains on the aggressive rollout of geothermal, wind, and solar projects, all aligned with our overarching goal of ensuring a greener and more sustainable future. The achievements of the past year serve as a solid foundation for the ambitious projects on the horizon, including:

- **Strategy Execution:** We are committed to delivering on our newly launched strategy with a focus on expanding our renewable portfolio, improving operational efficiency, and integrating cutting-edge technologies. These steps are essential as we solidify our position as a leader in clean energy generation.
- **New Renewable Projects:** Construction of the 80MW Olkaria VII Geothermal project, 42.5MW Seven Forks Solar PV Plant and the 8.6MW Gogo Hydro Plant will commence. These projects will further diversify our energy mix, increase installed capacity, and in turn reduce our carbon footprint
- **Olkaria I Rehabilitation:** Rehabilitation of the 40+ year-old Olkaria I Units 1, 2, & 3 geothermal power plant will continue, targeting to increase its output from 45MW to 63MW and extending its operational life by another 25 years.
- **Revenue Diversification:** Progress revenue diversification projects through setting up of our Green Energy Park at Olkaria and provision of Commercial Drilling Services within the Country and the region. We believe that initiatives such as our Green Energy Park will provide industries with an enabling platform to operate sustainably, thereby underscoring our commitment to environmental stewardship and responsible growth.

In the year ahead, we are confident in our ability to drive innovation, lead the transition to renewable energy, and maintain our trajectory of growth while remaining true to our commitment to sustainability. We are confident that our new Good-2-Great (G2G) 2024 – 2034 Corporate Strategy will serve as a powerful catalyst to deliver the kind of success that our shareholders and development partners anticipate, while also meeting the expectations of our broader stakeholders including energy consumers in Kenya.

DIVIDEND

The Board is pleased to recommend a first and final dividend for the year of KShs 0.65 (2023: KShs 0.30) per ordinary share of KShs 2.50, amounting to KShs 4,286 million (2023: KShs 1,978 million). This reflects our sustained profitability and our commitment to delivering long-term shareholder value..

ANNUAL GENERAL MEETING

The Annual General Meeting will be held via electronic communication on Thursday, 28th November 2024 at 11.00 a.m.

APPOINTMENT OF THE BOARD CHAIRMAN

We are pleased to inform you that the Board of Directors has appointed Eng. Frank Konuche as the Chairman of the Board to serve until the 2024 Annual General Meeting (AGM).

APPRECIATION

We extend our sincere gratitude to all our stakeholders for their continued support. As we embark on the next chapter of our journey under the 10-year G2G Strategy, we look forward to building on our successes through collaboration and innovation, ensuring a prosperous and sustainable future for all.

By Order of the Board

FCS AUSTIN OUKO
COMPANY SECRETARY & GENERAL MANAGER-LEGAL AFFAIRS

28th October 2024

4%

Electricity units dispatched increased by 4.4% from 8,027 GWhs to 8,384 GWhs.

Kshs 0.65

Dividend per share Kshs 0.65

35%

Net Profit after tax increased by 35% from KShs 5.0 billion to KShs 6.8 billion.